Success story



Dr. Arokiaswamy Velumani

Landless farmer's son to owner of ₹2158 crores business empire. Velumani was so poor that he sought government subsidy to go through school and college. Today, he is the owner of the world's largest thyroid testing company, that boasts of 1,122 outlets across India, Bangladesh, Nepal and the Middle East!

He started his career as a shift chemist at Gemini Capsules, a small pharmaceutical company in Coimbatore, in 1979 and earned a measly sum of ₹150 every month. The curtains came down on the company three years later and Velumani found himself without a job.

After 14 years of servitude at BARC, Velumani resigned his job. He decided to channel his expertise in thyroid biochemistry to set up testing labs that detected thyroid disorders. With ₹1,00,000 from his provident fund, Velumani, at the age of 37, opened a shop in Byculla, South Mumbai.

Thyrocare is worth ₹3,377 crores (on may 2016) and has made its debut on Indian bourses. Velumani owns a 64% stake in the company, which makes him worth ₹2,158 crore!

But it doesn't end there for Velumani and his team. Thyrocare is also working towards developing a subsidiary to focus on cancer screening through molecular imaging.

Case Study

A Rama industry was established to manufacturer fashion shoes. Since they were new in the market, they decided to sell their product through wholesalers. They appointed one wholesaler in each district and promised them verbally that they will remain the exclusive wholesalers in the area. After three years during one of the review meetings the sales manager informed that if company sells directly to retailers, they will be able to offer competitive prices, which will increase sales volume and eventually profits. He was directly supporting elimination of wholesalers.

a. Should the company follow sales manager's suggestion and start direct business with retailers?

b. What values would the company ignore if they by-pass wholesalers to earn extra profit?

Answers:

a) No, I don't think that company should follow sales manager's suggestion and start direct business with retailers. Because it is the wholesalers who have put in all the effect to establish sales network and prepared a market for new product. The company has though verbally promised wholesalers the exclusivity to sell, so it may not send good signals about the company in the market. The wholesalers may sell the competitors' product more aggressively, which may affect the company's sales adversely.

b) Values ignored are

1. Mutual trust
2. Integrity
3. Importance to relationships

Commerce 16-25.indd 231 10/12/2022 16:33:20